

will be important to watch. The second factor to watch will be global financial conditions. If stock prices around the world go into a steady decline, it will have knock-on effects on emerging market stocks, including India. But I am encouraged by the fact that private sector capital formation has begun to happen, which is a good buffer against these two risks.

▶▶▶

Will you revisit the GDP growth forecast for the fiscal?

At the moment, we are comfortable with 6.5 per cent. And we don't see downside risks arising. In May, we said the risks are evenly distributed on both sides of 6.5 per cent whereas in January, when we wrote the Economic Survey, we said 6.5 per cent, but downside risks dominated.

are on the retreat. We are keeping an eye on energy prices; we are keeping an eye on food prices. Both the central bank and the government are taking measures within their remit to address these. The quarterly inflation projections released by the Reserve Bank of India for the rest of the year in early August are quite realistic. I don't see a major inflation problem. If anything, the inflation rate on average this year will be lower than last year.

▶▶▶

But are there concerns about cereals and pulses going forward because of the rains being lower?

There will be some items, the prices of which always go up. It's a question of managing their increase through supply side mea-

▶▶▶

There is a concern about the monsoon—the rain deficit in August may impact rural demand. What is your view?

There are compensating factors as well. I am aware of these concerns, but we had good rains in June-July; the reservoir levels are quite alright and there is still some more time left for the monsoon to play out. The construction sector is doing well and therefore that absorbs labour and leads to remittances into rural India. MGNREGA demand is lower and falling compared to previous years. And private sector capital formation has begun to take off; that creates downstream demand for workers.

▶▶▶

You mentioned private sector capital formation.

August monthly bulletin, also reflects this... [it] is no longer a case of concentration of a few sectors driving the capital formation. It is well rounded.

▶▶▶

The government has stepped up capex. But there are concerns that it will reduce this closer to the general elections...

There is nothing in the data [or] the government's plans to indicate that the emphasis on capex will be diluted. In the first four months of FY24, capex has been ramped up and state governments and the private sector are also getting into the act.

▶▶▶

There is talk about India turning into the third-largest economy yet its per capita income being very low. Your thoughts?

What is novel in this argument? According to the World Bank classification, we are a lower middle income economy. And over time, we will become a middle income country... Everybody is aware of the numerator, which is GDP, and the denominator, which is the number of people in the country... I don't see the merits of these alternative points of view being raised because everybody knows that... And yes, in per capita terms, we have a lot of room to catch up. And that is what gives us the upside. **BT**

@surabhi_prasad

56 |

In terms of per capita income, we have a lot of room to catch up... that is what gives us the upside

▶▶▶

What are your views on the recent surge in inflation?

It has come back in the last several weeks primarily because of food prices. But core inflation has been very well-behaved and some of the food prices that went up

sures which the government is doing... the fact is we have good inventories of grains and sowing has not been bad. We will wait and see for the next one month what kind of rains we get. While there are questions and we need to be proactive, I don't see this as a very big concern.

When do you see a full-fledged recovery?

It is not just in some sectors... We have access to bottom-up data and 20 of 24 sectors have seen an increase in capex (capital expenditure) in FY23 compared to FY22. The RBI's private sector investment intentions, part of the